

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

PKDC, LLC, *Complainant*

v.

CMA CGM S.A., *Respondent*.

DOCKET NO. 24-21

Served: December 20, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER PARTIALLY GRANTING PARTIAL MOTION TO DISMISS¹

I. Introduction

On June 10, 2024, Respondent CMA CGM S.A. (“CMA”) filed a partial motion to dismiss (“Motion”). On July 5, 2024, PKDC timely filed its response to Respondent’s partial motion to dismiss (“Opposition”). On July 17, 2024, CMA timely filed its reply in support of the partial motion to dismiss (“Reply”).

CMA seeks to dismiss four of the five claims contained in the complaint, asserting that PKDC fails to state a claim under sections 41104(a)(9) (unreasonable disadvantage with respect to any port), 41104(a)(10) (refusal to deal), 41104(a)(2) (filed rate doctrine), and 41102(c) (unreasonable practices); and that the Commission lacks jurisdiction over PKDC’s section 41102(c) claim. Motion at 3-15; Reply at 2-12.

PKDC asserts that the complaint pleads sufficient facts to state a plausible claim for relief under sections 41109(a)(9),² 41104(a)(10), 41104(a)(2), and 41102(c); and that the Commission has jurisdiction over its section 41102(c) claim. Opposition at 3-17.

For the reasons discussed below, the motion is **GRANTED** with respect to Count IV, the 41104(a)(9) claim; and **DENIED** with respect to the remaining claims.

¹ This order granting dismissal of Count IV, the 41104(a)(9) claim, will become the order of the Commission in the absence of review by the Commission. Any party may file exceptions to this order within twenty-two days of the date of service. 46 C.F.R. § 502.227.

² PKDC refers to section 41109(a)(9) throughout its Opposition; but its arguments address Count IV of its complaint, which alleges a 41104(a)(9) violation. Opposition at 17; Complaint at 10.

II. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 WL 13512925, at *4 (FMC Oct. 29, 2020).

When "jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies." *MAVL Capital*, 2020 WL 13512925, at *5 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)). "Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor." *MAVL Capital*, 2020 WL 13512925, at *5 (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189 (FMC Dec. 18, 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 2011 WL 7144008, *12 (FMC Aug. 1, 2011). "A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'" *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). "When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief." *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 WL 4411676, at *2 (M.D. Tenn. 2014).

III. Analysis

A. Section 41104(a)(9) – Unreasonable Disadvantage with Respect to any Port

CMA contends that PKDC fails to state a claim under section 41104(a)(9) because it does not allege that the conduct in question was directed at a port; the Commission has dismissed complaints alleging violations of this section when the complaint did not indicate that the alleged conduct was directed at a specific port but was instead directed at a particular shipper; simply referring to the contract generally without actually specifying which of the ports in the contract were allegedly the targets of the offensive conduct does not comply with applicable pleading

standards; and the complaint does not allege CMA's purported conduct was directed at a specific port. Motion at 3-4; Reply at 11-12.

PKDC asserts that as explained by the Commission, with respect to any port, common carriers may offer different rates, but they may not do so in a manner that is undue or unreasonable. Opposition at 17. PKDC further asserts that here the contract sets forth specific ports, and because discovery has yet to be conducted, the *MCS Industries, Inc.* decision, not the *OJ Commerce* decision applies. Opposition at 17.

Prior to June 16, 2022, section 41104(a)(9) stated: "A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not-- . . . (9) for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port." 46 U.S.C. § 41104(a)(9). The Ocean Shipping Reform Act of 2022 ("OSRA 2022") amended section 41104(a)'s initial clause from "may not" to "shall not" but otherwise left section 41104(a)(9) unchanged. OSRA 2022, Pub. L. 117-146, June 16, 2022, 136 Stat 1272, 1274 § 6.

First, the language quoted by PKDC regarding *MCS Industries, Inc. v. COSCO Shipping Lines Co.* is from an ALJ order, not a Commission decision, and was not reviewable by the Commission as no claims were dismissed. Docket No. 21-05, 2022 WL 458569, at *1 (ALJ Feb. 4, 2022). Additionally, the circumstances relevant to section 41104(a)(9) as described in *OJ Commerce* are more similar to the circumstances here. *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S*, Docket No. 21-11, 2022 WL 4017209 (ALJ Aug. 31, 2022) ("*OJ Commerce Order on MTD*"), admin final Oct. 6, 2022.

The Senate Report accompanying the Ocean Shipping Reform Act of 1997 provided additional direction concerning section 41104(a)(9), noting that:

New sections 10(b)(5) and (9) substantially increase the discretion given to common carriers to provide different service contract terms to similarly situated shippers. . . . Sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would restrict common carrier service contracting flexibility in only three, narrow, ways.

First, sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. **The Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at the locality, not to circumstances where the actions are targeted at a particular shipper or ocean transportation intermediary which happens to be associated with that locality.** An example of this would include a clear pattern of service contracting by a common carrier that imposes an unreasonable disadvantage on all shipments from a specific nation or region of a nation, including the United States.

OJ Commerce Order on MTD, 2022 WL 4017209, at *4 (bold added in order) (citing S. Rep. 61, 105th Cong., 1st Sess., p. 28 (1997)).

Section 41104(a)(9) explicitly applies to practices “with respect to any port.” 46 U.S.C. § 41104(a)(9). However, the complaint here does not indicate that the alleged undue or unreasonable preference or advantage or prejudice or disadvantage were targeted at a specific port. Rather, the complaint describes actions targeted at a particular shipper, PKDC. As alleged in the complaint: “Respondent’s systematic refusal to meet its quantity and/or rate commitments *under the service contract it entered into with Complainant* in favor of shippers willing to pay in excess of the rates set forth in the service contract constitutes giving an undue or unreasonable preference or [ad]vantage or imposing an undue or unreasonable prejudice with respect to a port in violation of 46 U.S.C. § 41104(a)(9).” Complaint, ¶ 11 (emphasis added).

Indeed, the complaint demonstrates precisely the focus rejected by the Senate report. S. Rep. 61, 105th Cong., 1st Sess., p. 28 (1997) (“The Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at the locality, *not to circumstances where the actions are targeted at a particular shipper* or ocean transportation intermediary which happens to be associated with that locality.”) (emphasis added). Therefore, the complaint does not plausibly allege a violation of section 41104(a)(9) of the Shipping Act and Count IV is dismissed.

B. Section 41104(a)(10) – Refusal to Deal

CMA asserts that PKDC fails to state a claim under section 41104(a)(10) because it did not refuse to deal or negotiate with PKDC, unreasonably or otherwise; PKDC does not argue that CMA engaged in a “shut out;” the complaint acknowledges CMA transported cargo for PKDC; and failure to provide all of the vessel space for which the parties contracted does not constitute an unreasonable refusal to deal or negotiate. Motion at 6-7; Reply at 7-9.

PKDC contends that section 41104(a)(10) is not as narrow as CMA’s argument would suggest; CMA unreasonably refused to deal in violation of section 41104(A)(10) by systematically refusing to provide the space accommodations and rates agreed to by the parties; and “while CMA may not have ‘shut out’ PKDC, PKDC alleges that CMA systematically refused to provide space despite repeated requests, coerced additional fees, sold space obligated to PKDC to the highest bidder all where space was available as demonstrated by PKDC’s cargo traveling on CMA ships after refusals where PKDC procured alternative shipping. Opposition at 14-17.

Pre-OSRA 2022, section 41104(a)(10) provided that: “common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41104(a)(10) (effective Dec. 4, 2018 to June 15, 2022). OSRA 2022 updated this section to provide that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.” 46 U.S.C. § 41104(a)(10).

The Commission has found that a common carrier should “refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.” *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 2002 WL 33836158 (FMC June 28, 2002), *aff’d sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003). The Commission has stated that “in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration to an entity’s efforts at negotiation.” *Canaveral Port Authority*, 2003 WL 723336, at *18. “Refusals to deal or negotiate are factually driven and determined on a case-by-case basis,” although the ultimate burden of persuasion remains with the complainant to show that the refusal to deal or negotiate was unreasonable. *Canaveral Port Authority*, 2003 WL 723336, at *13, *18. To establish a violation of Section 41104(a)(10), the Complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable.

As further explained by the Commission:

The Commission has found various situations that inform what refusal to deal entails. It has found that a common carrier must avoid shutting out any person or party for reasons not connected to legitimate transportation-related factors. A common carrier must therefore give actual consideration to the other party’s efforts or attempts at negotiation. For example, a common carrier’s repeated refusal to respond to email or telephone requests for negotiations over an extended period of time may be viewed as an unreasonable method of shutting another party out. Similarly, there must be an affirmative act by a party to deal or engage in negotiations with the common carrier. Commercial convenience alone is not a reasonable basis for a common carrier’s refusal to deal or negotiate. A common carrier granting special treatment to one party over another because that party is a regular customer is likewise likely to be viewed as unreasonable.

OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S, Docket No. 21-11, 2023 WL 3969857, at *29 (ALJ June 7, 2023) *aff’d* 2024 WL 4034610 (FMC Aug. 27, 2024) (“*OJ Commerce FMC*”). An unreasonable refusal to deal was also found in the case of a Respondent refusing to complete the delivery of containers as agreed to, in part in an effort to obtain payment for other containers, where the refusal was not justified by legitimate transportation-related factors. *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Ltd.*, Docket No. 22-28, 2024 WL 1741944, at *37 (ALJ Apr. 19, 2024).

Here, PKDC has alleged that CMA refused to deal or negotiate, demonstrated by CMA’s “refusal to meet its quantity and/or rate commitments under the service contract it entered into with Complainant despite Complainant’s repeated requests for space” and where CMA “extract[ed] additional costs from Complainant” for example by stating that it would be “difficult” to consistently move volume for PKDC absent additional fees. Complaint, ¶¶ 12, 33-34.

Failure to fulfill the volume commitment specified in a service contract may or may not ultimately result in a successful refusal to deal claim, depending on the circumstances. *See, e.g.,*

OJ Commerce FMC, 2024 WL 1741944, at *10 (affirming a violation of section 41104(a)(10) where the “ALJ correctly concluded that HSDG refused to provide the required space under the 2020-2021 Service Contract because of OJC’s notice of intention to file a case with the Commission and not because space was unavailable.”) But such information regarding the circumstances behind any inability to fulfill the service contract volume may be uniquely within the control of Respondent. PKDC has alleged enough to make this claim plausible at this stage of the proceeding, and discovery will aid to further elucidate the validity of this claim.

C. Section 41104(a)(2) – Filed Rate Doctrine

CMA asserts that PKDC fails to state a claim under section 41104(a)(2) because the complaint “fails to identify a single container that was transported at rates other than those in the service contract or a single charge assessed against PKDC that was not set forth in the service contract or CMA CGM’s tariff;” the complaint concedes that when rate adjustments were agreed upon, they were reflected in amendments to the service contract; seeking customer consent to an increased rate is not prohibited by section 41104(a)(2); and PKDC fails to identify any service that was provided other than in accordance with applicable service contract/tariff terms. Motion at 4-6; Reply at 9-10.

PKDC contends that CMA violated section 41102(a)(2) by refusing to abide by the contractual minimum quantity commitment (“MQC”) and coercing extracontractual fees to carry cargo; in particular, CMA coerced PKDC to sign amendments to include peak season surcharges (“PSS”) not in the original contract, in addition to coercing SeaPriority Go fees (“SPGO”) which is not for contract shipments but a separate premium service; and that PKDC acquiesced to certain PSS is of no moment, as that acquiescence was the result of the coercive actions of CMA making such payments a pre-condition to carrying cargo CMA previously contracted to carry without the imposition of PSS. Opposition at 11-14.

First, it is noted that the complaint, count III, alleges a violation of section 41104(a)(2) from “systematically refusing to meet its service commitments to Complainant and extracting extracontractual payments from Complainant including for PSS and premium services,” but then states that this constitutes a “failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing and delivering Complainant’s property in violation of 46 U.S.C. § 41104(a)(2),” which is the standard for section 41102(c), not section 41104(a)(2).

Pre-OSRA 2022, section 41104(a)(2), provided that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, may not-- . . . (2) provide service in the liner trade that is--(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title . . . “ 46 U.S.C. § 41104(a)(2) (effective Dec. 4, 2018 to June 15, 2022). OSRA 2022 changed “may not” to “shall not” but otherwise left section 41104(a)(2) unchanged. To prove a violation of section 41104(a)(2) then requires a complainant to establish that a common carrier failed to provide service in accordance with the classifications, rules, and practices contained in its published tariff or service contract.

In *Taylor's Resources*, the Commission affirmed the dismissal of a section 41104(a)(2)(A) claim where the “ALJ found that Mitsui’s actions were consistent with the applicable tariff, the service contract, and the waybill, and rejected Complainant’s assertion that Mitsui unreasonably delayed disposal of the unclaimed cargo and then collected excessive detention/demurrage fees.” *Taylor's Resources, Inc. (USA) v. Mitsui O.S.K. Lines Ltd.*, Docket No. 1954(F), 2018 WL 1757672, at *5 (FMC Apr. 4, 2018). So, generally the agreed to rate (whether filed in tariffs or negotiated in a service contract or NRA) must be charged – not more and not less. However, that filed or negotiated rate may not be enforceable if it violates the Shipping Act, for example, if it is an unreasonable practice under Section 41102(c). *See, e.g., Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.*, Docket No. 1831(F), 1998 WL 940255, at *34 (FMC Dec. 10, 1998) (“substantive violations may arise to render a rate unlawful even if it has been filed.”); *petition for review denied per curiam* 203 F.3d 54 (table) (D.C. Cir. 1999).

Here, PKDC acknowledges that it signed an amendment to the MQC, but it argues that “Respondent required Complainant to sign an amendment at the completion of the Service Contract reducing the MQC.” Complaint, ¶ 25. PKDC further acknowledges that PSS fees charged were agreed to in service contract amendments, but it contends that such “acquiescence was the result of the coercive actions of CMA making such payments a pre-condition to carrying cargo CMA previously contracted to carry without the imposition of PSS.” Opposition at 12; Complaint, ¶ 34. Regarding SPGO fees, it is not entirely clear from the complaint whether PKDC agreed to such fees in an amendment. But, PKDC provides as an example a September 15, 2021, communication from CMA offering 15 forty-foot equivalent units (“FEUs”) but specifying “it is your contract rate + SPGO (\$1800),” which phrasing suggests SPGO fees may have been outside of what was agreed to in a service contract. Complaint, ¶ 33, 35. While CMA disputes that SPGO fees were able to be assessed on service contracts, this presents a factual dispute, which may later be evaluated on the merits.

For purposes of the motion to dismiss for failure to state a claim, allegations in the complaint are presumed to be true. Accepting PKDC’s allegations as true and drawing reasonable inferences in PKDC’s favor, its complaint presents sufficient information to raise a plausible violation of section 41104(a)(2).

D. Section 41102(c) – Unreasonable Practices, Jurisdiction

CMA contends that the Commission lacks jurisdiction over PKDC’s 41102(c) claim and “if PKDC’s claim is one for a breach of contract (which it is), it should be dismissed;” that prior Commission decisions have been incorrect; and there are times when it is reasonable for a party to breach a contract. Motion at 8-12; Reply at 2-4.

PKDC asserts that the Commission has jurisdiction over Count I of PKDC’s complaint, which alleges a violation of section 41102(c), because it is “well settled that the Commission has jurisdiction to hear claims even in instances where the conduct could also constitute a breach of contract;” the alleged violations “raise issues beyond contractual violations;” and an unreasonable practices claim “may not be brought or adjudicated in any different forum.” Opposition at 3-9.

Section 41102(c) provides that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The elements required for a Section 41102(c) claim are that (a) Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4.

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). The Commission *must* address alleged violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Id.* The Commission’s obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, where related proceedings regarding those claims are underway, and even where the parties have already obtained relief for those claims in another forum. *MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006).

Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant. *MCS Industries*, 2024 WL 95383, at *7. The Commission set forth the standard for determining whether a complaint is inherently a contract claim or sufficiently alleges a Shipping Act cause of action in *Cargo One*:

However, we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. We believe the more appropriate test is whether a complainant’s allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Cargo One, Inc., 2000 WL 1648961, at *14.

Respondent criticizes the Commission for “accepting at face value the characterization of a claim in a complaint.” Motion at 10. However, it is the Supreme Court which stated: “we hold that stating such a claim requires a complaint with enough factual matter (taken as true) to suggest that an agreement was made.” *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 556 (2007); *see also Iqbal*, 556 U.S. at 678. Thus, accepting the factual allegations in the complaint as true is a requirement.

Here, PKDC’s complaint alleges that CMA and PKDC entered into a one-year service contract for transportation of containers from various countries to the United States with a MQC of 4,000 twenty-foot equivalent units (“TEUs”). Complaint at 3-4. The complaint specifies that the “practices alleged herein including systematically refusing to meet its commitments to Complainant and coercing extracontractual payments from Complainant including for [Peak Season Surcharges (“PSS”)] and premium services, constitute a failure to establish, observe, and enforce just and reasonable practices relating to receiving, [handling], storing and delivering Complainant’s property” in violation of section 41102(c). Complaint, ¶ 55. PKDC provides further details, expanding on the allegations that CMA systematically refused to meet its commitments to PKDC and coerced additional payments from PKDC. *See, e.g.*, Complaint at 3-7. These allegations allege a plausible unreasonable practice claim under the Shipping Act. Ultimately, Complainant will have the burden of providing sufficient evidence to support its allegations.

Additionally, Respondent attempts to redefine an unreasonable practices claim into a breach of contract claim and then argues that the breach of contract claim should be dismissed. This only highlights the differences between breach of contract claims and Shipping Act unreasonable practice claims.

As Respondent explains, courts “generally recognize the concept of an efficient breach of contract, i.e., where the breaching party finds it more beneficial to breach the contract than to perform under it” and asserts that “willful breaches of contract are not distinguished from other breaches and punitive damages” are not awarded. Motion at 11-12 (citing *Restatement (Second) of Contracts*, Ch. 16, Introductory Note (1981); David W. Barnes, “The Anatomy of Contract Damages and Efficient Breach Theory,” 6 S. Cal. Interdisc. L.J. 397, 399 (1998)).

Commission regulated entities have antitrust immunity, however, they are regulated by the Shipping Act. The purpose of the Shipping Act pre-OSRA 2022, included to “provide an efficient and economic transportation system in the ocean commerce of the United States that is, insofar as possible, in harmony with, and responsive to, international shipping practices.” 46 U.S.C. § 40101(1). OSRA 2022 changed the purpose to “ensure an efficient, competitive, and economical transportation system in the ocean commerce of the United States.” Pub. L. 117-146, 136 Stat 1272, § 2. OSRA 2022 did not change the Shipping Act requirement that regulated entities “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Part of ensuring an “efficient and economic transportation system” is prohibiting regulated entities from engaging in unreasonable practices. Thus, the Shipping Act differs from a breach of contract action, where efficient breach may be acceptable. Rather, “[i]mproved ocean

shipping contributes to more efficient international supply chains;” the “elimination of congestion is today’s most critical and relevant trade-related issue;” and “[m]aintaining the efficiency and effectiveness of America’s global supply chains is exceptionally important to the nation’s continued economic vitality.” Fed. Mar. Comm’n, *Report, U.S. Container Port Congestion & Related International Supply Chain Issues: Causes, Consequences & Challenges* at 2 (July 2015) (FMC Congestion Report), https://www.fmc.gov/wp-content/uploads/2019/04/PortForumReport_FINALwebAll.pdf. Therefore, although efficient breach may be applicable to a breach of contract setting, that is a different legal claim from an unreasonable practices claim under the Shipping Act. Also, in Shipping Act claims, reparations are only available for actual injury and punitive damages are not available. Respondent may argue that an efficient breach is a justification or relevant to the merits but this does not impact jurisdiction and is not a basis to dismiss the claim.

The Commission therefore has jurisdiction and has an obligation to determine whether an entity, here CMA, has violated the Shipping Act. This is the case even when the allegations may constitute both breach of contract claims and claims that the entity violated the Shipping Act. *See, e.g., Baltic Auto Shipping, Inc. v. Hitrinov*, Docket No. 14-16, 33 S.R.R. 1230, 1232-33 (ALJ Feb. 2, 2015) (Order Denying Request for Stay). CMA has not established that the section 41102(c) claim should be dismissed on jurisdictional grounds.

E. Section 41102(c) – Unreasonable Practices, Failure to State a Claim

CMA contends that section 41102(c) applies only to terminal and forwarding services and not to the transportation of cargo, thus it does not apply to the alleged failure to perform under the contract and therefore PKDC has failed to state a plausible claim under section 41102(c) insofar as performance of the contract is concerned. Motion at 12-15; Reply at 4-7. PKDC asserts that CMA’s argument is contrary to the broad, plain language of section 41102(c) and nearly identical allegations have been found to constitute a plausible violation of section 41102(c). Opposition at 10-11.

In 1989, the D.C. Circuit addressed the scope of 10(d)(1) (now 41102(c)) and rejected the argument that section 17 applied only to physical services performed at the terminal, stating:

The Commission, however, relies on section 10(d)(1) of the 1984 Act, *id.* section 1709(d)(1), which states: “No common carrier, ocean freight forwarder, or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” Section 10(d)(1) was derived from section 17 of the 1916 Act, 46 U.S.C.App. section 81646 U.S.C.App. section 816. The NCBFAA counters that the FMC had long applied section 17 only to physical services performed at the terminal. Brief of Petitioner at 28–29. Although some forwarder activities, petitioner thus maintains, are subject to the Commission’s ‘reasonable practice’ jurisdiction, those activities do not include fee arrangements for forwarding services preliminary to an actual shipment. Reply Brief of Petitioner National Customs Brokers & Forwarders Association of America, Inc. at 15–16.

In *American Union Transport*, 327 U.S. 437, 66 S.Ct. 644, 90 L.Ed. 772, the Supreme Court recognized broad Commission authority to regulate forwarders, stating: “By the nature of their business, independent forwarders are intimately connected with” the activities listed under section 17, that is, “the receiving, handling, storing or delivering of property.” *Id.* at 449, 66 S.Ct. at 650. To confine “reasonable practice” jurisdiction to physical cargo handling services performed at the terminal, the FMC indicates, would be inconsistent with *American Union Transport*; such an interpretation, in large measure, would place freight forwarders outside the statute because forwarders (unlike carriers and terminal operators—the other entities covered by section 10(d)) traditionally do not operate at terminals. Brief of Respondents at 33. We are satisfied that the Commission has fairly and reasonably construed section 10(d)(1)’s scope and now turn to the specific regulations the NCBFAA challenges.

Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc. v. United States, 883 F.2d 93, 98-99 (D.C. Cir. 1989) (footnote omitted). The court concluded that: “We uphold the FMC’s constant rule on the ground that the Commission, in the reasonable exercise of its rulemaking authority, may interpret section 10(d)(1) to prohibit forwarder discrimination in the charges billed to customers.” *Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc.*, 883 F.2d at 100.

The Commission recently addressed its jurisdiction in 41102(c) claims, stating:

The Commission has broad general rulemaking authority under 46 U.S.C. 305, which provides that the Commission “may prescribe regulations to carry out its duties and powers.” The Commission has relied on this authority and § 41102(c) to issue regulations prohibiting certain practices determined to be unjust and unreasonable, and the D.C. Circuit has affirmed this authority.

Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29638, 29644 (May 18, 2020) (footnotes omitted).

In addition, abundant Commission case law contradicts the argument that section 41102(c) only applies to services performed at the terminal and to terminal forwarding operations. *See, e.g., American Export-Isbrandtsen Lines, Inc. v. Federal Maritime Comm’n*, 389 F.2d 962, 968 (D.C. Cir. 1968) (affirming the Commission’s determination that the respondent Conference’s imposition of certain charges on truckers and lightermen constituted unjust and unreasonable practices under section 17 of the Shipping Act, 1916, (predecessor to section 41102(c) (emphasis added))); *Mitsui O.S.K Lines v. Global Link*, Docket. No. 09-01, 2011 WL 7144008 at *6-7 (FMC Aug. 1, 2011) (establishing that the Shipping Act of 1984 allows the Commission to hear claims involving the inland portions of international ocean transportation arrangements, including the Complainant’s claim that an arrangement involving the split-routing of cargo by the respondents violated section 41102(c)); *Distribution Servs., Ltd. v. Trans-Pacific Freight Conference of Japan and its Member Lines*, Docket No. 86-12, 1988 WL 340659 at *6-7 (FMC Jan. 16, 1988) (affirming the ALJ’s finding that the Respondents’ rule denying the payment of transloading allowances when consignees load shipment at their facility was an unjust and unreasonable regulation or practice related to or connected with the receiving, handling, storing or delivering of property, in violation of section 10(d)(1) (predecessor to

section 41102(c)) of the Shipping Act of 1984)); *Eastern Mediterranean Shipping Corp. – Violations of Section 10(a)(1), 10(b)(1), and 10(d)(1) of the Shipping Act of 1984*, Docket No. 98-16, 1999 WL 125987 (ALJ Feb. 3, 1999) (Respondents found to have violated section 10(d)(1) by failing to remit payments to vessel-operating common carriers on behalf of customers, providing false and misleading information to shippers, failing to provide bills of lading to shippers, and causing delays in delivery because of their “actions or inactions.”). These are but a drop in the ocean of Commission cases contradicting Hapag-Lloyd's arguments.

Section 41102(c) applies to “regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The complaint alleges that CMA failed to receive, handle, store, or deliver more than half of the minimum quantity commitment that it committed to in the parties’ 2021-22 service contract. Complaint at 2-4. Accepting the allegations in the complaint as true, the complaint is sufficient to plausibly allege that the conduct at issue impacts the receiving, handling, storing, or delivering of property.

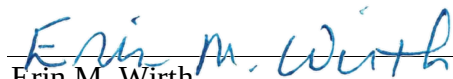
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Respondent’s motion to dismiss is **GRANTED IN PART and DENEID IN PART**. It is

FURTHER ORDERED that Complainant’s section 41104(a)(9) claim is **DISMISSED**. It is

FURTHER ORDERED that CMA shall file its response to the complaint by January 8, 2025, and the parties shall submit a joint status report with proposed schedule by January 16, 2025, as required by the May 16, 2024, initial order.


Erin M. Wirth
Chief Administrative Law Judge